11/15/2023 - Brooklyn Union & KeySpan Gas - 23-G-0225/0226

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 23-G-0226 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

PUBLIC STATEMENT HEARING

DATE: November 15, 2023 at 6:30 p.m.

LOCATION: J.C.C. of Staten Island
Bernikow Building
1466 Manor Road
Staten Island, New York 10314

BEFORE: A.L.J. JAMES COSTELLO
A.L.J. DAKIN LECAKES

Reported by Monique Hines

(The hearing commenced at 6:30 p.m.)

A.L.J. COSTELLO: I call Case 23-G-0225 Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company doing business as National Grid New York for Gas Service. And 23-G-0226 Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation doing business as National Grid for Gas Service.

As I stated earlier, we're here for a public statement hearing, and that public statement hearing was noticed by the Secretary of the Commission on October 16th, 2023. The public statement hearing concerns the proposed changes in the gas delivery rates and practices of the Brooklyn Union Gas Company which I'm going to refer to as KEDNY and the KeySpan Gas East Corporation Company which I'm going to refer to as KEDLI. And I may refer to them collectively as the Companies.

On April 23rd, 2023 proposing to increase their annual gas delivery revenues effective March 31st, 2024, the Companies made their rate filings. KEDNY proposed to increase its revenues by $414 million which is a 28% increase in base delivery

revenues or a 17% increase in total revenues. KEDLI proposed to increase its revenues by $228 million, a 24% increase in base delivery revenues or a 14% increase in total revenues.

As you were told earlier, the actual bill impacts of those proposed changes on any particular customer class will vary based upon revenue allocation and rate design. My name is James Costello. Again, I am an administrative law judge with the Department of Public Service. I'm assigned to this case to build a record for the commission's consideration. Also assigned to the case with me is Administrative Law Judge Maureen -- Maureen Leary who is holding a public statement hearing this evening on Long Island.

To my right is the Chief Administrative Law Judge Dakin Lecakes who is accompanying me here this evening so we'll go forward with this. And as I said, we're basically preparing the record for the commission -- New York State Public Service Commission's review. The New York State Public Service Commission is the ultimate decision maker in this case.

Under New York State Law the Public Service Commission must consider the utilities proposed filings and may adopt or reject the proposals in whole or in part or it may modify it. The Public Service Commission will decide what the Companies' terms and conditions of service will be. The commission currently has six members which is the Chairperson Rory Christian and five commissioners, Diane Burman, James Alesi, John Howard, David Valesky and John Maggiore.

So I'm going to briefly explain the process that we're going to follow today. Just so you know, the purpose of this hearing is to hear your comments on the Companies' rate filings and for you to tell the commission your thoughts on -- on the Companies' rate filings. The statements you make today are going to be made part of the case record. We have a court reporter here who is going to take -- make a transcript of the statements that are made. That transcript will be posted on the Department of Public Service's website under the case numbers that have been assigned for these matters.

If you would like to make a statement and -- and haven't already signed up to do so, you

may do so at any time just by going over to the table to my right, far right and give them your name and we'll gladly take your statement. We ask that you please speak slowly and clearly so that the court reporter can get your statement for the record. To the extent you have any lengthy written statement that you wish to read, we ask that you summarize that if possible and provide the written statement for -- and we'll make sure that it's included in the case record.

Before we begin just I don't anticipate, you know, there being any -- any disrespectful tones. But in case anybody has differing views we're here to hear everybody's comments and we ask that you be respectful of everybody's comments as they make them. And to the extent you haven't done so already, if you have a -- a cell phone please silence your cell phones. And with that we're going to go to our first speaker who is Cheryl Adolph.

MS. ADOLPH: Good evening. My name is Cheryl Adolph and I'm the executive director of the College of Staten Island Foundation. Like to just say a few words about the deep and impactful

community partnership we share with National Grid. National Grid provides support in the areas of student scholarships, STEM workshops in area high schools and the clean tech incubator on State Island's north shore.

National Grid has also supported the student emergency fund at the College of Staten Island which provides case grants to students in good standing who experience short term financial emergencies. National Grid has funded nearly 100 scholarship awards since 2014 which allows STEM students to stay in college despite financial hardships. The scholarship program has been instrumental in enabling students to finish their degrees in engineering, environmental science and computer science.

The awards are based on economic merit and financial need with a preference for underrepresented populations and women. And support sophomore, junior and senior level students to aid in -- with retention. National Grid has also supported engineering workshops that date back to the summer of 2008. These awards have allowed C.S.I. to establish strong relationships with local high schools on

Staten Island as well as in the general New York metro area.

The recent addition of two advisors to C.S.I.'s engineering department will leverage future programs that may involve a competitive annual application process for high school students to attend a summer academy. Additionally, the College of Staten Island Technology Incubator was the proud recipient of National Grid's largest grant awarded in the New York metro area to expand its hub to create the C.S.I. Jump Start Entrepreneurial Program.

This program was supported by entrepreneurs and residents mentors and certified business advisors from the New York State Small Business Development Center at the College of Staten Island. The Jump Start Program helped participants grow their businesses. The program consisted of seminars, workshops, fireside chats, mentoring, advising and networking.

The program was tailored to the distinct needs of each cohort of participants. This approach modeled after the most successful technology incubators across the country, maximized the learning experience for cohorts. The program focused on

offering advanced business strategies in the areas of marketing, human resources and legal services and included dedicated mentoring and advisement.

C.S.I. looks forward to continuing and expanding our partnership with National Grid to build interest in STEM through scholarship opportunities, to recruit and retain STEM students and thereby graduate a skilled engineering workforce, to continue to build relationships with high schools through the workshop and academy programs and via the tech incubator and other means. To help build a robust entrepreneurial ecosystem on Staten Island. Thank you.

A.L.J. COSTELLO: Thank you. Our next speaker is Jodie Guagliardo.

MS. GUAGLIARDO: Good evening. I'm executive director of I.C.S. Foundation. My name is Jodie Guagliardo and we support integration charter schools. And I would like to express our gratitude to National Grid for their generosity in the community. I.C.S. operates four charter schools across Staten Island to provide K to 12 students including students who are economically disadvantaged

and have social and emotional challenges with innovative pathways to college and career.

National Grid is more than our utility company. They are a critical partner that powers our students' futures. National Grid recently provided a general -- a generous grant to support I.C.S.'s Richmond Preparatory Charter School that will enable them to double the current classroom space of our existing facility. Just as important, their support will enable them to add a science lab, rooftop outdoor play space and multiple new green spaces for students.

This donation is truly transformative and will enhance STEM, education and access to opportunity for generations of Staten Island youth, opening doors for students to pursue future careers in the clean energy workspace. So just want to say we're very grateful and we support National Grid. Thank you.

A.L.J. COSTELLO: Thank you. Our next speaker will be Tanya Jones.

MS. JONES: Good evening everyone. My name is Tanya Jones and I am the associate vice president of government relations and advocacy at

HeartShare Human Services. National Grid has been an incredible partner to HeartShare for over 27 years supporting our communities, upstate and downstate New York. Through its utility assistance programs and community projects, the National Grid team educates, advocates and works hard to improve the community for everyone.

I started my career at HeartShare over 25 years ago working on National Grid's Neighborhood Heating Fund Program. This program helps downstate New Yorkers pay their heating bills. It is the most sought after program by our legislators in Brooklyn, Queens and Staten Island. And the most remembered by the community. I've watched this program grow from helping hundreds to helping thousands, and I am impressed with National Grid's dedication to supporting the community with its programs.

They are tireless in their efforts to work with every household they support. This support is evidenced through their suite of assistant programs administered by HeartShare including Care and Share, Hope and Warmth and Hearts Fighting Hunger. These programs were established in response to the needs of the communities they serve.

During the pandemic, when the world was at a standstill and many poverty alleviation programs and social services were halted or downsized, National Grid rose to the task of ensuring that vulnerable and marginalized populations would still be able to benefit from the lifesaving energy assistance programs which HeartShare administers. In moments of crisis, I've consistently watched National Grid double down on its efforts and ensured that its consumer advocates were on call to assist customers who needed extra support and added funds to programs in place to support customers who were unable to pay their bills.

HeartShare's energy assistance programs have a strong outreach and education component as part of its operating model. I feel like the mic went off. National Grid's consumer advocates are always by our side during workshops, educating the community only to save energy, low-income rates and various protections. Heeja Payne (phonetic spelling) is here with me today. She is by my side all the time.

They are willing to partner and work with us in every community regardless of the date or

time. National Grid also partners with HeartShare in Washington, D.C. to advocate and support LIHEAP which is a low-income heating assistant program which is a essential federal heating assistance program for all low-income New Yorkers across the state, again, understanding and supporting the needs of the community regardless of the territory.

National Grid has consistently shown its dedication to the community they serve which is unmatched and should truly be recognized. National Grid's presence in our community support for local families and contributions to nonprofits demonstrate their commitment to being a consistent and positive corporate citizen.

Recently their consumer advocates have also attended our town hall with Council Member Nantasha Williams where they educated the community on consumer protections and bill savings and will be with us tomorrow night with Assembly Member Khaleel Anderson and next week with Assembly Member Nelly Rosik (phonetic spelling). We appreciate the contributions they have made and look forward to working with them to continue to build a stronger, more educated and sustainable community.

I'm almost done. As a community leader, HeartShare supports National Grid as a strong community partner who works very hard at supporting the needs of all customers not just a specific demographic. Some of the programs they support have nothing to do with energy at all but are simply for the greater good of the community. And that's the definition of having a true corporate conscience. Thank you.

A.L.J. COSTELLO: Thank you. Our next speaker will be Gary Perone.

MR. PERONE: Good evening. My name is Gary Perone. I'm the executive vice president and general manager for Staten Island Entertainment who we also have the Staten Island Ferry Hawks. As a Staten Island resident and representative of our business community, I'm proud to share my support for National Grid's rate case proposal. We all know National Grid as an energy company, but today I want to talk about the work they do beyond providing safety, reliable energy to Staten Island homes and businesses.

National Grid is a pillar of the Staten Island community as I do personally know

having worked with them for over 20 years in doing multiple things with the community organizations and youth programming. It is vital -- vitally important that they have the resources they need to maintain our energy system, build new renewable energy, infrastructure and continue supporting Staten Island and the greater New York community.

In partnership with National Grid, we've had a long time standing support from National Grid while they -- while the team here was the Staten Island Yankees before we took over in '21 as the Staten Island Ferry Hawks. We personally know the stadium not only used for baseball games but we do use it for outside events and not profit organizations. National Grid has been a great supporter of that.

Through these partnerships with National Grid we've been able to provide a great sense of community inclusion by inviting in over 1,000 -- last year alone over 1,000 local residents to nonprofit baseball games. And we provided them with tickets and great opportunities and memories I'll never forget. So I will say on behalf of our organization that we truly support National Grid and

all their efforts and we will walk side by side with them all the way. Thank you.

A.L.J. COSTELLO: Thank you. All right. I'm -- and I apologize if I mispronounce the name. It's Vuzmel Sharma.

MS. SHARMA: Hello, my name is Vuzmel Sharma. Thank you very much for hosting this hearing. So I am here on behalf of Climate Justice and with a group that has two principle demands for National Grid. Our first is to retire and not replace gas infrastructure. New York State Law requires that we get off of all fossil fuels by 2050 to mitigate the climate disaster unfolding in real time before us. We should not be paying $3.8 billion for National Grid to invest in their outdated gas system that would keep us burning fossil fuels into 2080.

Our second request is that we retire the Greenpoint Energy Center at 287 Maspeth Avenue in Brooklyn. We want an independent expert study to commence detailing a plan to retire the facility by 2030 permanently. And by the way, this is part of the New York City Climate Justice Law is that we get

off fossil fuels by 2030. Investing $447 million is an irresponsible use of our money.

Our community previously fought for an independent expert study at this facility before investing tens of millions of dollars into them, and the findings show that they were, indeed, not needed. We insist upon this same process for the Greenpoint Energy Center requested. I'm here standing with the land, I'm standing with our future children and I'm standing in solidarity with Climate Justice. Thank you.

A.L.J. COSTELLO: Thank you. Our next speaker is Roy Fischman.

MR. FISCHMAN: Good evening. I'm a member of the Staten Island Environmental group called the Natural Resources Protective Association. I realize that you are all from public service but I have a question for National Grid. What are they doing to move away from fossil fuels to slow climate change? I'd like that asked of them. Are they exploring renewable energy?

I was listening to the presentation and I didn't see or perhaps I missed it, costs involved in what they're doing. I'd like to -- them

to justify the rate increases by the increased costs that they have. And I would like to know if the Public Service Commission is likely to grant their rate increase or what is the next step.

A.L.J. COSTELLO: Are you finished with your statement? I --.

MR. FISCHMAN: Yes.

A.L.J. COSTELLO: We're generally not here to answer questions. I can tell you what the next steps in the process are. Can't tell you what the commission is going to decide on what the rates are going to be. That's a decision that the commission will make. Right now the Company and other parties are engaged in negotiations to try and settle the case. If the case -- if they do reach an agreement that agreement will be presented to the commission and there will be, you know, an order drafted for the commission and the commission's review.

They'll look at the record and everything and they'll make a determination based on that. There will also be an opportunity once -- once if there is -- it's called a joint proposal. If that's provided there will be further opportunities

to comment on what the -- the parties propose in this joint proposal.

It's also possible that the case might not ultimately be settled, and if that happens the case would then continue on a litigated track. There would be an evidentiary hearing. There would be opportunities for people to cross examine the company and then ultimately there would be probably a recommended decision by the administrative law judges which would go to the commission. But there would be further briefing and then the commission would make a decision on an order and -- and that's what's going on there.

MR. FISCHMAN: Thank you.

A.L.J. LECAKES: And just to clarify, even if there is a settlement agreement it gets submitted to the administrative law judges first and there will be an evidentiary hearing on the joint proposal as well for any parties that don't sign on to that settlement agreement.

MR. FISCHMAN: I see. Thanks.

A.L.J. COSTELLO: Okay. Thank you. Our next speaker is Gigi Nieson.

MS. NIESON: All right. Good evening and thank you so much for having this hearing here today. My name is Gigi. I actually live in Brooklyn. I was unable to come to yesterday's hearing but I think this is very important. You know, I'm representing New Yorkers who are going to have struggle to pay for these rate hikes but don't necessarily qualify for all of the benefits. I'm not in the necessarily the income bracket to qualify for all of National Grid's services that they provide.

And based on the numbers a rate increase around 28% would increase gas bills by an average of $30 per month per person for everyone here in Staten Island, everyone in Brooklyn, all of the people on Long Island. And, you know, like many New Yorkers I have two jobs. I am an educator. I also work in the service industry, and that would be a major burden that's hundreds more dollars every single year for ultimately infrastructure projects that I don't agree with.

You know, I interact with students every day at CUNY, at other schools. And, you know, I think about their future. I think about my future and the state of our planet and the state of our

environment. New York's air pollution, water quality, all of those things. And this investment, this $3.8 billion investment National Grid is proposing would lock us further into decades more of this harmful infrastructure.

And there is, you know, people have already said there are alternatives to that. You know, gas infrastructure should be replaced and retired with these innovative, already utilized and successful technologies like thermal energy networks which are more cost effective in the long run. And actually, in fact, the like inner national representative for the pipe trades association John Murphy stated that installing these thermal energy networks is the exact same skill that is used in current pipe fittings. So we would retain jobs and we would have jobs for new New Yorkers, young New Yorkers towards a clean energy goal. And I think that's really important.

And I also just want to make sure that you guys do understand, you know, National Grid is this multi-billion dollar corporation. There's nothing, you know, I do receive because I'm a National Grid customer. I have to be like everyone

in Brooklyn who pays for gas even though I never chose to be this customer. I get the newsletter, I hear about National Grid's donations to all of these really amazing organizations, but I want to just say that you know the -- this billion dollar corporation, the C.E.O. makes an average of $4,000 an hour.

They have time to fund deception. They have time to fund green washing and time to fund a lot of really great organizations and paint themselves as such a beautiful beacon of hope for the community. But I see it, you know, with the state of our climate akin to, you know, putting a band aid on someone with like a serious wound. Someone who stabbed someone in the back and then gave them a band aid. So that's how I look of the future and how I look of the state of our planet and what National Grid chooses to put its money and making us pay for our own poisoning, which I do not agree with. So thank you so much.

A.L.J. COSTELLO: Thank you. Okay. Our next speaker -- no, I believe we came to the end of our speaker list. I'm sorry. Okay. And your name is.

MR. DONOVAN: Donovan.

A.L.J. COSTELLO: Daniel Donovan.

MR. DONOVAN: That's me.

A.L.J. COSTELLO: Okay. Mr. Donovan, apologize for that.

MR. DONOVAN: And now -- now I'm to blame making everybody stay longer.

A.L.J. COSTELLO: No, we -- we were going to stay here for another five minutes anyway, so.

MR. DONOVAN: Your Honors, thank you so much for presiding over this hearing. I am Citizen Dan Donovan but I'm very familiar with National Grid's presence on Staten Island over many years. For 32 years I served this community in government. I was the deputy borough president. I was the district attorney and I represented Staten Island and South Brooklyn in the House of Representatives and Congress.

National Grid is a company that's more than just a business in our community. It's an integral part of every one of its customer's lives. The best energy companies understand this and go above and beyond to not only provide heat and

electric service but also support the communities where they operate.

National Grid is this kind of electric -- energy company. The National Grid team doesn't just work in our community. They're our neighbors. Their children go to our schools with our children. They shop in our small businesses, and most importantly, they give back and work hard to improve the community for everyone. That's why I'm proud to be here as a citizen but I'm also here as a representative and helping at one of our charter schools that one our other community minded citizens just spoke about.

And we have received great support from National Grid in our efforts for our schools. Here on Staten Island National Grid is more than just an energy provider. They're a local partner that has deeply embedded in our community that consistently strives to improve the lives and the future of all Staten Islanders. Just last week this company announced $500,000 donation to two local schools including my school, New World Preparatory Charter School. A charter school that serves one of our most underserved neighborhoods in Staten Island.

This generous donation will support major school construction, renovation projects, science labs, green spaces and new technology. These new facilities will support STEM and art education helping us set the energy industry leaders of tomorrow on the path to success. This grant will -- was incredibly -- it was incredible on its own, but it's just one example of the ways National Grid supports communities across Staten Island and throughout all of New York. National Grid provides grant funding for projects for both economic and social significance within our communities driving job creation and neighborhood enhancement while supporting clean energy and sustainability.

National Grid's generosity has helped local organizations and small businesses thrive and we are thrilled to have them in our community. This support -- their support for community pillars like my friend Gary just spoke about, the Staten Island Ferry Hawks, the St. George Theater, a gem on Staten Island, the -- and the Staten Island Zoo make sure that the Staten Island that we all love flourishes for the next generation.

Over the years I have been generally impressed by the dedication to sustainability. National Grid is leading the way on large scale infrastructure projects that will enable us to meet New York's ambitious clean energy goals as the speaker before me spoke about. Not only that, the company's programs to help families and small businesses save energy have saved many of my neighbors' money and made our community more environmentally friendly.

The National Grid's teams hand on support and people like Niles French and Carol Decina have customized energy solutions for our community and have enabled us to do our part to address global warming. As a former congressman, district attorney, deputy borough president, I've worked with National Grid for a very long time. I know their commitment to our community, it's at the core of the company's identity and it's the way they do business.

National Grid's presence in our community, support for local businesses and contributions to not-for-profits demonstrates their commitment to being a consistent and positive corporate citizen in Staten Island. National Grid

has supported us for many, many years. Now I am proud to support National Grid as they seek the resources they need to continue providing New Yorkers across all five boroughs with safe, reliable energy. I thank you for your time and I conclude with my unwavering support of this organization. Thank you.

A.L.J. COSTELLO: Thank you. Okay. Now -- now we've come to the end of our speakers list. I'd like to thank everyone here for taking the time and coming out and giving your views on the rate filings by the companies. I would like to thank our consumer services team for helping us administer this as well as our court reporter, and with that we're going to go off the record and I hope everyone has a good evening.

(The hearing concluded at 7:01 p.m.)

STATE OF NEW YORK

I, MONIQUE HINES, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 26, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 22nd day of November, 2023.

MONIQUE HINES, Reporter